Question #1 of 20

Question ID: 1474083

Which of the following implementation shortfall components is *NOT* influenced by market-wide movements?

A) Explicit costs.

B) Realized profit and loss.

C) Missed trade opportunity cost.

Question #2 of 20

Question ID: 1474085

Algorithms are *least likely* to adapt to market fragmentation by incorporating:

A) intelligent smart order routing capabilities

B) liquidity aggregation capabilities

C) basket trading capabilities

Sunil Chabbria has just been hired by Noveau Investments as part of the firm's trading desk team. Chabbria had previously traded bonds for a large public pension plan. As part of Noveau's training program for new hires, Chabbria is reviewing the trading manual and protocols for trade evaluation at Noveau.

One of the learning assessments in the training manual asks to calculate the effective spread on shares of Amplicity purchased at $25.89. At the time of the transaction, the quoted bid-ask prices were $25.75 – $25.91.

Chabbria is concerned about the merits of using effective spread in evaluating trades, and is considering other alternatives. He makes a note to himself to consider the pros and cons of each of the metrics.

Chabbria reviews the section on electronic markets from the training manual and jots down the following:

1. Due to ever-increasing computing power and communication speeds, quoted bid- ask spreads have increased in electronic markets.

2. Unlike floor-based traders, electronic exchange systems do not inadvertently reveal clients' hidden orders.

Finally, Chabbria sees mention of flickering quotes in a description of a trading strategy that the firm uses, however he is unsure of what this term means. Chabbria sends an email to Suzanne Thomas, head trader for the firm, asking what is meant by flickering quotes.

Question #3 - 6 of 20

Question ID: 1474089

The effective spread on Amplicity shares is *closest* to:

A) $0.02.

B) $0.06.

C) $0.12.

Question #4 - 6 of 20

Question ID: 1474090

Which of the following statements about effective spread is *most* accurate? Effective spread:

A) is a good indicator of trade performance when a large order is split into smaller orders.

B) captures the opportunity cost of a trade.

C) does not account for slippage or delay costs when part of the order does not get filled at desired prices.

Question #5 - 6 of 20

Question ID: 1474091

Which of Chabbria's statements about electronic markets are accurate?

A) Statement 1 only.

B) Statement 2 only.

C) Both statements are accurate.

Question #6 - 6 of 20

Question ID: 1474092

Thomas would *most* appropriately respond to Chabbria's question by responding that flickering quotes are orders that:

A) are submitted and then cancelled immediately.

B) randomly switch between exposed and hidden mode.

C) are hidden, but can be revealed by an algorithm designed to find them.

Question #7 of 20

Question ID: 1474079

Suppose a trader is quoted a market bid price of $30.00 and an ask of $30.07. The execution price of a buy order is $30.04. What is the effective spread?

A) $0.01.

B) $0.06.

C) $0.02.

Question #8 of 20

Question ID: 1474077

Suppose a trader is quoted a market bid price of $40.40 and an ask of $40.49. The execution price of a buy order is $40.47. What is the effective spread?

A) $0.050.

B) $0.090.

C) $0.025.

Question #9 of 20

Question ID: 1474082

Which of the following is *most* accurate regarding the volume-weighted average price (VWAP) intraday benchmark? VWAP is applicable:

A) when wishing to exclude potential trade outliers.

B) in market environments that are potentially volatile throughout the day.

C) when rebalancing a portfolio over the day with buy and sell orders.

Question #10 of 20

Question ID: 1474087

An electronic trading strategy that is common when dealers are willing to trade at better prices than they quote, *most* accurately describes:

A) leapfrogging.

B) flickering quotes.

C) hidden orders.

Question #11 of 20

Question ID: 1474095

A trader that has advance information about a large buy-side order is *most likely* to attempt to profit from the large trade's market impact through the market manipulation known as:

A) quote stuffing.

B) front running.

C) gunning the market.

Question #12 of 20

Question ID: 1474086

An electronic trader that tries to profit by exploiting the option value of standing orders is *most* accurately categorized as an electronic:

A) arbitrageur.

B) front runner.

C) quote matcher.

Question #13 of 20

Question ID: 1474076

Which of the following trading costs is *NOT* an explicit cost?

A) Market impact costs.

B) Commissions.

C) Stamp duties.

Question #14 of 20

Question ID: 1474093

A trader that arranges for the same security to be traded among several commonly controlled accounts to create the impression of market activity at a particular price is *most likely* to be accused of:

A) gunning the market.

B) quote stuffing.

C) wash trading.

Question #15 of 20

Question ID: 1474096

Suppose that a market manipulator sells a particular security quickly to push prices down in order to trigger stop-loss sell orders that other market participants have in place, in order for the manipulator to profit by repurchasing that security at lower prices. This abusive trading practices is *most likely* to be classified as:

A) squeezing.

B) gunning.

C) cornering.

Question #16 of 20

Question ID: 1474078

Suppose a trader is quoted a market bid price of $16.00 and an ask of $16.10. The execution price of a sell order is $16.03. What is the effective spread?

A) $0.03.

B) $0.04.

C) $0.02.

Question #17 of 20

Question ID: 1474081

Which of the following trading costs results when an order is not filled?

A) Price impact costs.

B) Market impact costs.

C) Opportunity costs.

Question #18 of 20

Question ID: 1474084

The results of liquidity aggregation are *most likely* to be referred to as a:

A) “super book”.

B) “parent order”.

C) “dark pool”.

Question #19 of 20

Question ID: 1474080

If the volume-weighted average price (VWAP) during a day was $21 and 100 shares were bought at $20.40, which of the following statements regarding the costs of trading is *most* accurate?

A) The implicit costs are -$60.

B) The explicit costs are -$60.

C) The implicit costs are $60.

Question #20 of 20

Question ID: 1474094

A trader that places numerous false orders on one side of the market in order to incite other market participants into trading with a real order on the other side of the market is *most likely* to be accused of:

A) layering.

B) gunning the market.

C) wash trading.